

Land Transfer Tax in Toronto — Reference Note

A buyer of land in Toronto pays TWO land transfer taxes: the provincial Ontario Land Transfer Tax (LTT) and the Municipal Land Transfer Tax (MLTT). Both are payable on closing and are calculated on the purchase price (value of the consideration).

Ontario LTT marginal rates: 0.5% on the first \$55,000; 1.0% on \$55,000–\$250,000; 1.5% on \$250,000–\$400,000; 2.0% on \$400,000–\$2,000,000; 2.5% on the amount over \$2,000,000 for one or two single-family residences.

Toronto MLTT mirrors the provincial bracket structure on the same consideration and, for high-value homes, adds further luxury brackets above \$3,000,000.

First-time home buyers may claim a refund of up to \$4,000 of the Ontario LTT and up to \$4,475 of the Toronto MLTT, for a combined maximum first-time rebate of \$8,475. To qualify the buyer must be at least 18, must occupy the home as a principal residence within nine months, and must never have owned a home anywhere in the world.

Land transfer tax is a closing cost that is not financeable into the mortgage and must be paid from the buyer's own funds, materially increasing the true cost of ownership.